



Norway



Funds: It is possible to conduct cross-border active marketing/selling of AIFs or UCITS where:

- the firm can use the Third Country Firm Regime or is appropriately authorised/licensed; and
- the appropriate filing is submitted to market/pre-market the fund.

Investment Management & Advisory Services (IMAS): It is possible to conduct cross-border active marketing/provision of IMAS (arranging, execution of orders on behalf of clients, investment advice and portfolio management) where firm has the appropriate licence or can rely on the Third Country Firm Regime.

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Key points in terms of the position in Norway are:

 **Reverse Enquiry:** Responding to a reverse enquiry may be possible without triggering the above requirements where certain conditions are satisfied.

 **PPR:** Marketing/selling an AIF via A36/A42 PPR is permitted to Professional Investors following approval from the NFSA.

 **Marketing AIFs to Non-Professional Investors:** Where the relevant requirements can be satisfied, it is possible to obtain approval to market an AIF to Non-Professional Investors.

 **There is a Third Country Firm Regime:** Where the licensing requirement is triggered, firms who do not wish to set up a presence in Norway and obtain a licence (and who are not EEA Passporting Entities), may be able to use a route available to third country firms. This route is only available where targeting eligible counterparties and certain conditions must be met (discussed further below).

Norway also has a separate route permitting UK regulated firms to offer portfolio management services to certain professional clients following a notification by the UK firm to the FCA.

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Local counsel advise a cautious approach and that firms should take care not to provide too much detail which could lead to the identification of a specific fund (in which case it would be necessary to consider the regime for permitted pre-marketing). Further, there is a risk of triggering the Licensing Requirement if the information provided as part of general marketing could be regarded as an integrated part of any subsequent investment services.



The activity should be permitted as the fund has been passported into Norway. However, the Licensing Requirement must also be considered unless the firm has the required permissions (e.g. whether the Third Country Firm Regime applies) or the Conditions for Permitted Reverse Enquiry (IMAS) have been satisfied.



IMAS: Workable

Necessary to consider whether the Conditions for Permitted Reverse Enquiry (IMAS) apply, unless the firm has the required permissions (e.g. whether the Third Country Firm Regime applies). See *Active Marketing/Provision of IMAS* below.

Conditions for Permitted Reverse Enquiry (Funds): Counsel recommend complying with the following conditions:

- Each separate transaction with a particular investor must be preceded by a separate reverse enquiry.
- A reverse enquiry can be general provided that the later initiative to engage in transactions relating to specific funds is made by the investor.
- There is a risk that any active marketing activity (including general marketing) in Norway could undermine the ability to later rely on reverse enquiry.
- Reverse enquiry should not be used as a strategy to carry out business in the Norwegian market as in practice it requires passive acceptance by the firm to incoming business.
- The filing/retention of correspondence showing that the initiative to invest in a fund was made by the investor is highly recommended, particularly where the investor is a Non-Professional Investor.
- If the firm uses a standard form template filled out by the investor to confirm the initiative came from them to make the reverse enquiry, other correspondence should be kept in file, in case of enquiry from the NFSA. See section 5(c) of the Memorandum for some practical considerations in connection with the use of template language in this context.

Conditions for Permitted Reverse Enquiry (IMAS): Counsel recommend complying with the following conditions:

- Assessment of whether the investor has taken the “first approach” must be evaluated on a case-by-case basis.
- The investor must initiate each individual investment advisory situation. Each separate transaction with a particular investor must therefore be preceded by a separate reverse enquiry.
- Guidance from the NFSA is modest but in local counsel’s view the investor’s approach should relate to a specific service rather than being more general.
- The filing/retention of correspondence showing that the initiative was made by the investor is highly recommended, particularly where the investor is a Non-Professional Investor.
- If the firm uses a standard form template filled out by the investor to confirm the initiative came from them to make the reverse enquiry, other correspondence should be kept in file, in case of enquiry from the NFSA. See section 5(c) of the Memorandum for some practical considerations in connection with the use of template language in this context.

Pre-Marketing and Active Marketing/Selling of Funds



Firms will need to consider both fund and firm level requirements.

1. Fund Level Requirements

The requirements will depend on whether the fund is a UCITS or an AIF and whether marketing/selling via a marketing passport or the national private placement regime (PPR).

A. UCITS

Speedread: To actively market/sell a UCITS using the marketing passport route, it is necessary to make the relevant notification to the home member state regulator and to comply with all associated requirements. It is not possible to pre-market a UCITS or to market/sell a UCITS that has not been passported to investors in Norway.

In addition, the firm will need to be appropriately licensed to market/sell the UCITS. See the *Licensing Requirement* below.

Pre-Marketing UCITS before UCITS marketing passport notification: Not permitted

For UCITS, pre-marketing is likely not permitted prior to the passporting notification being made.

Active marketing/selling via UCITS marketing passport: Permitted

Permitted to Professional Investors and Non-Professional Investors in Norway subject to notification to home Member State regulator and preparation of the necessary documents including the KID/KIID. See section 6.1(c) of the Memorandum for Norway-specific requirements, including in relation to applicable timeframes and fees. Facilities must be provided for Non-Professional Investors, although there is no requirement for a local agent based in Norway. For firm level requirements, see the *Licensing Requirement* below.

Active marketing/selling a UCITS that has not been passported into Norway: Not permitted

Non-passported UCITS cannot be actively marketed/sold into Norway. To actively market/sell a UCITS to investors in Norway it is necessary to complete the UCITS notification process.

B. AIFMD Marketing Passport

Speedread: To actively market/sell an AIF using the marketing passport route, it is necessary to make the relevant notification to the home Member State regulator and to comply with all associated requirements. Pre-marketing is permitted but care is required to ensure activities stay within the scope of permitted pre-marketing and that the informal letter is submitted.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.

Pre-Marketing AIF before AIFMD marketing passport notification: Permitted

Implementation of the CBDF Directive in Norway is generally in line with the CBDF Directive, although the concept has been extended to apply to both Professional Investors and Non-Professional Investors. Any subsequent marketing/selling to Non-Professional Investors must then be structured in accordance with the Non-Professional Investor Requirements as discussed below.

Care is required to structure activities within the scope of permitted pre-marketing. See the onscreen report for details of the types of documents which it is expected will be able to be used to conduct pre-marketing, whether in draft or final form and any required disclaimers. Within two weeks of any pre-marketing being conducted, an informal letter will need to be sent by the EEA AIFM to its home Member State regulator.

Restrictions will also apply to the firm conducting the pre-marketing – third parties must generally fall within the categories of EU-regulated firms prescribed by the CBDF Directive.

Active marketing/selling via AIFMD marketing passport: Permitted

EEA AIFs with EEA AIFMs may be actively marketed/sold to Professional Investors subject to notification to home Member State regulator of the AIFM. See section 4.2 of the Memorandum for Norwegian-specific requirements

which apply in order to market a passported AIF into Norway, including in relation to applicable timeframes and fees. For firm level requirements, see the *Licensing Requirement* below.

C. PPR

Speedread: Where either the AIF or the AIFM is based outside the EEA, the AIFMD marketing passport is not available. Marketing/selling is possible to Professional Investors under the private placement regime (via either A36 or A42 as implemented in Norwegian law) subject to compliance with the relevant requirements and with the approval of the NFSA. However, pre-marketing is not permitted prior to registering with the NFSA.

There are also routes to market/sell an AIF to Non-Professional Investors, provided the associated conditions are met.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.

Pre-Marketing AIF before notification to use PPR: Not permitted

Norwegian implementing legislation for the CBDF Directive does not extend the CBDF pre-marketing regime to non-EU AIFMs or non-EU AIFs. In section 4.4(c) of the Memorandum, local counsel discuss whether some form of “pre-pre-marketing” might be feasible. However, it should be noted that the law is unclear and caution is advised. Local counsel indicate that specific advice should be obtained in each instance.

Active marketing/selling via PPR: Permitted following approval from the NFSA

Permitted to Professional Investors following receipt of approval from the NFSA and provided the relevant requirements deriving from the AIFMD are met. See sections 4.1 and 7.1 of the Memorandum for more details, including in relation to applicable timeframes and fees. While there has been no significant gold-plating to the AIFMD baseline requirements, Norwegian counsel advises that it is possible that special conditions could be issued on a case-by-case basis. There are examples in section 7.1(a) of the Memorandum of the types of conditions that might be applicable. For firm level requirements, see the *Licensing Requirement* below.

D. Approval Regime applicable to AIFs to be offered to Non-Professional Investors

Pre-Marketing AIF before using approval route for Non-Professional Investors: Permitted

Active marketing/selling to Non-Professional Investors: Permitted with approval from the NFSA

See section 6.2(e) of the Memorandum for a summary of the requirements that need to be satisfied before an AIF can receive approval to be marketed/sold to Non-Professional Investors. It should be noted that:

- For EEA AIFMs it is possible to seek approval in connection with both open-ended and closed-ended AIFs, although the requirements to be satisfied differ depending on whether the AIF is open or closed-ended.
- For non-EEA AIFMs it is possible to seek approval for marketing open-ended AIFs to Non-Professional Investors. However, the current regime does not permit a non-EEA AIFM to obtain permission in connection with a closed-ended AIF.

See sections 6.2 and 7.1 of the Memorandum for details, including in relation to applicable timeframes and fees. See also section 6.2(e) which refers to the requirement to provide a PRIIPs KID.

For firm level requirements, see the *Licensing Requirement* below.

2. Firm Level Requirements

E. Licensing Requirement

Speedread: Marketing/selling activities in connection with a fund will trigger the Licensing Requirement where the activities form an *integrated* part of the provision of an investment service. Where the activities amount to an investment service, the firm will need to obtain a local licence, be an EEA Passporting Entity or appoint a local intermediary to market/sell the fund, unless the Third Country Firm Regime applies. In addition, a non-EEA AIFM that has received prior approval of the NFSA to market an AIF via the PPR may conduct the marketing activity in connection with that AIF without triggering the licensing requirement.

For pre-marketing of an AIF, this requires the firm to fall within the categories of EU-regulated firms prescribed by the CBDF Directive.

EEA Passporting Entity: Permitted

For active marketing/selling, where the firm is the UCITS ManCo or AIFM of the fund, marketing should fall within the UCITS ManCo/AIFM's authorisation. To conduct related activities (e.g. provision of investment advice) it will need to check if it has the necessary permissions and passport these into Norway.

Non-EEA AIFM marketing AIF that has been approved to use PPR: Permitted

Other Firm: Workable such as where falls within scope of Third Country Firm Regime

Unless the marketing is conducted in such a way that it is **not** deemed to be "integrated" with the provision of an investment service, the firm will be subject to the Licensing Requirement and will either need to be an EEA Passporting Entity or hold a Norwegian MiFID II licence unless the Third Country Firm Regime applies (see below).

See section 6.4(b) of the Memorandum for a discussion of the concept of "integrated". Care is required. The actual content and conduct of the firm must align with the assertion that the marketing information is not an integral part of an investment service. This involves sharing objective, factual information without influencing client decisions, avoiding personal recommendations, and preventing direct transactions based on the marketing materials. A disclaimer such as the one set out in Appendix 3.A.(iv) is recommended, but it is key that such disclaimer should align with the actual content/conduct of the firm.

However, a non-EEA AIFM that has received prior approval of the NFSA to market an AIF via the PPR may conduct the marketing activity in connection with that AIF without triggering the licensing requirement.

Third Country Firm Regime: On 11 September 2023, the Norwegian Ministry of Finance announced the introduction of a new permanent regime for third country firms in relation to the provision of investment services to Eligible Counterparties. The new regime applies with immediate effect.

- the third country firm must have a licence in its home country, covering equivalent investment services to the services it provides and the investment activity it operates in Norway, and must be under supervision in its home state;
- there must be a bilateral or multilateral agreement on supervision with the NFSA and the supervisory authorities in the thirdcountry firm's home state; and
- the third country firm's home state cannot be on any of the FATF (Financial Action Task Force) lists, neither the "FATF black list", nor the "FATF grey list".

In relation to the second condition above, the NFSA has clarified that the IOSCO Multilateral Memorandum of Understanding Concerning Consultation and Cooperation and the Exchange of Information ("IOSCO MMoU") meets this requirement. As of 12 September 2023, the IOSCO MMoU had 129 signatories including the UK. You can find an updated list of these signatory jurisdictions in Appendix A here: [Signatories to Appendix A and Appendix B List \(iosco.org\)](#).

There are some other licensing exemptions but these are less likely to be relevant - see section 6.4(d) of the Memorandum for details.

For the position on intermediaries, see *Additional Considerations* below.

Active Marketing/Provision of IMAS



Speedread: While the activity of "marketing" of "investment services" is in principle not subject to the Licensing Requirement, the NFSA has in publicly available precedents expressed the view that if marketing of "financial instruments" or "investment services" relating to "financial instruments" forms an integrated part of the provision of an investment service to be carried out, the entity that is marketing will most likely be regarded as carrying out an investment service and therefore subject to the Licensing Requirement.

To market/provide IMAS in Norway, a firm will therefore generally need to obtain a local licence, be an EEA Passporting Entity or appoint a local intermediary to market/provide the IMAS, unless the Third Country Firm Regime applies. However for certain UK firms it also may be possible to rely on a separate route described below.

 **EEA Passporting Entity:** Permitted

 **Other Firms:** Workable where falls within scope of Third Country Firm Regime or additionally for UK firms where specific portfolio management exemption applies

Unless the marketing is conducted in such a way that it is not deemed to be "integrated" with the provision of an investment service, the firm will be subject to the Licensing Requirement and will either need to be an EEA Passporting Entity or hold a Norwegian MiFID II licence unless the Third Country Firm Regime applies.

UK Firm Portfolio Management Permissions Regulation: In addition to the Third Country Firm Regime, Norway has a route permitting UK regulated firms to offer the MiFID II service of Portfolio Management to certain professional clients (Norwegian AIFs, AIFMs, UCITS and UCITS ManCos only). UK regulated firms must notify the UK Financial Conduct Authority (FCA), and may provide Portfolio Management (and ancillary activities) under this regulation once the NFSA has received notification from the UK FCA. The NFSA may lay down conditions for a firm's services and activities and issue corrective orders, including ordering a firm to terminate its services and activities. In local counsel's view, the latter is a safety mechanism, and it is not expected that the NFSA will lay down extensive conditions for UK firms on a general basis under this regulation.

While there are some other licensing exemptions to those described above, in practice these are less likely to be relevant - see section 6.4(d) of the Memorandum for details.

Where the Licensing Requirement is triggered, as discussed in section 10 of the Memorandum, such a licence usually requires a presence in Norway. Local counsel note that it is technically possible for a non-EEA firm to be granted permission to provide certain services on a cross-border basis or by way of a branch establishment in Norway pursuant to section 3-4 of the SFA. However, they are not aware of such permissions actually having been granted in practice.

For the position on intermediaries, see *Additional Considerations* below.

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking. Marketing/selling of these vehicles will not be caught by the AIFMD if they are structured to fall outside the definition of an AIF.



Intermediaries

An intermediary is not required. While use of an intermediary is permitted, a firm cannot avoid complying with applicable registration/licensing requirements by using an intermediary.

Fly-in meetings

Fly-in meetings are permitted where the firm is acting in compliance with the licensing/other requirements set out above. However, local counsel recommends that a firm seeks legal advice if the fly-in meetings develop/take the form of a more permanent physical presence.

Prospectus Regulation (PR3)

PR3 applies to interests in a closed-ended fund that constitute "transferable securities". An approved prospectus is required unless an exemption applies. See section 9 of the Memorandum for applicable exemptions.

Form and content requirements including disclaimers

See also the Document Checklist on the aosphere report for a summary of these requirements – the checklist considers specific fact patterns and the key considerations that apply when preparing marketing documents.

Good Marketing Practices

There are requirements relating to good business conduct and a prohibition against misleading marketing and the use of unfair commercial terms. These apply to anyone carrying out marketing activities in Norway whether on a cross-border basis or through a branch. These requirements apply to both business-to-consumer and business-to-business marketing. See section 8.1(c) of the Memorandum for more information.



EEA Passporting Entity

A MiFID Investment Firm, CRD Credit Institution, UCITS ManCo or EEA AIFM authorised in another EEA Member State with appropriately scoped permissions and which has exercised its right to passport into the jurisdiction on the basis of its home Member State authorisation.

Eligible Counterparties

Includes investment firms, credit institutions, insurance companies, collective investment undertakings and their management companies, pensions undertakings and their management companies, other regulated financial institutions and public bodies at the national level (including central banks). In addition, the Norwegian Deposit Guarantee Scheme is also considered an eligible counterparty for the purpose of this provision.

Non-Professional Investors

Investors who are not Professional Investors.

Professional Investors

Means a "professional client" as defined in Annex II of MiFID II. Includes:

- investment firms, credit institutions, insurance companies and other institutional investors that are authorised or regulated;
- large undertakings meeting two of the following criteria: (i) Balance sheet total: EUR 20 million; (ii) Net turnover: EUR 40 million; or (iii) own funds: EUR 2 million; and

- national and regional governments, public bodies that manage debt, central banks, and international and supranational institutions.

Please refer to section 4.1 of the *European Framework Document* for a fuller description of the types of investor who may fall within this definition.